

GLOSSARY

ALTERNATIVE PERFORMANCE MEASURES

- continued

Invested capital: TORM defines invested capital as the sum of intangible assets, tangible fixed assets, investments in joint ventures, bunkers, accounts receivables, assets held-for-sale (when applicable), deferred tax liability, trade payables, current tax liabilities and deferred income. Invested capital measures the net investment used to achieve the Company's operating profit. The Company believes that invested capital is a relevant measure that Management uses to measure the overall development of the assets and liabilities generating the net profit. Such measure may not be comparable to similarly titled measures of other companies. Invested capital is calculated as follows:

USDm	2019	2018	2017
Tangible and intangible fixed assets	1,782.2	1,445.0	1,384.8
Investments in joint ventures	1.2	0.1	0.3
Bunkers	34.8	39.4	33.2
Accounts receivables ¹⁾	99.5	96.3	87.5
Assets held-for-sale	9.1	6.2	6.6
Deferred tax liability	-44.9	-44.9	-44.9
Trade payables ²⁾	-94.4	-71.6	-60.0
Current tax liabilities	-1.5	-1.0	-1.4
Deferred income	-	-0.1	-0.1
Invested capital	1,786.0	1,469.4	1,406.0

¹⁾ Accounts receivables includes Freight receivables, Other receivables and Prepayments.

²⁾ Trade payables includes Trade payables and Other liabilities.

Net Asset Value per share (NAV/share): TORM believes that the NAV/share is a relevant measure that Management uses to measure the overall development of the assets and liabilities per share. Such measure may not be comparable to similarly titled measures of other companies. NAV/share is calculated using broker values of vessels and excluding charter commitments. NAV/share is calculated as follows:

USDm	2019	2018	2017
Net Asset Value per share			
Total vessel values including newbuildings (broker values)	1,801.5	1,675.1	1,661.1
Committed CAPEX on newbuildings	-51.2	-258.0	-306.9
Cash position	72.5	127.4	134.2
Loans receivables	4.6	-	-
Bunkers	34.8	39.4	33.2
Freight receivables	89.8	86.0	71.3
Other receivables	6.2	7.5	11.8
Other plant and operating equipment	4.3	3.0	1.9
Land and buildings	8.1	-	-
Investments in joint ventures	1.2	0.1	0.3
Prepayments	3.5	2.9	4.4
Borrowings	-863.4	-754.7	-753.9
Trade payables	-47.1	-35.1	-26.2
Other liabilities	-47.3	-36.5	-33.8
Current tax liabilities	-1.5	-1.0	-1.4
Total Net Asset Value (NAV)	1,016.0	856.1	796.0
Total number of shares excluding treasury shares (million)	74.4	73.9	62.0
Total Net Asset Value per share (NAV/share) (USD)	13.6	11.6	12.8